## 2020

After five tough years, it would be nice too have an uneventful 2020. A nice, smooth year with no major drama or big news. And what could possibly go wrong in 2020? I mentioned earlier that we generally don't like single theme market regimes, where everything spins around one single event or situation. That's usually a bad thing for trend following, as it reduces the benefits of diversification. So I'm sure you're wondering how our trend model handled the shock of the worst pandemic in a hundred years, lockdowns, travel bans, and all the things that you have now spent so much time trying to forget.

Knowing what we know now about 2020, it may seem quite concerning that we're fully loaded on a bull market portfolio. We're long stocks across the board and short the VIX as well. That would certainly not be good if there's a sudden market shock. We're also long oil, mostly long agriculture and short rates (Tables 6.73 and 6.74, and Figure 6.110).

**TABLE 6.73 Initial portfolio 2020**

| Market | Direction | Sector |
|---|---|---|
| Lumber | Long | Agriculture |
| Soybean Meal | Short | Agriculture |
| Soybean Oil | Long | Agriculture |
| Cotton No. 2 | Long | Agriculture |
| Sugar No. 11 | Long | Agriculture |
| White Sugar | Long | Agriculture |
| Lean Hogs | Short | Agriculture |
| KC HRW Wheat | Long | Agriculture |
| Live Cattle | Long | Agriculture |
| Feeder Cattle | Long | Agriculture |
| Coffee C | Long | Agriculture |
| Corn | Short | Agriculture |
| Japanese Yen | Short | Currencies |
| Australian Dollar | Long | Currencies |
| New Zealand Dollar | Long | Currencies |
| Canadian Dollar | Long | Currencies |
| US Dollar Index | Short | Currencies |
| British Pound | Long | Currencies |
| E-mini S&P 500 | Long | Equities |
| Hang Seng Index | Long | Equities |

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